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Market View

The CPI quagmire

The US Bureau of Labor Statistics (BLS) just released the September 2025 CPI report with a headline figure of 3.0% YoY and core of 3.0%, compared to median survey forecasts of 3.1% for both. This is one of the few government data points being published during the government shutdown, as the BLS is releasing the CPI report to ensure that the Social Security Administration can meet its statutory deadline to calculate cost-of-living adjustments (COLA) for the upcoming year.

However, the challenges associated with data collection and processing under these circumstances suggested that there were higher than normal odds of an atypical data print. Consequently, markets this week – from equities to crypto – have seen **added volatility in anticipation of a potentially negative surprise** that could have forced a repricing of Fed expectations. Instead, we think the benign print should offer markets some relief, with tariffs having a tolerable impact (goods increased 0.5% MoM) on prices.

Chart 1. Inflation at a glance: Headline vs Core CPI

Had CPI not come in lower than expected, we think reconciling the alternative (a potentially elevated CPI) with the Federal Reserve's seemingly dovish Beige Book (as well as Fed Chair Jerome Powell's relatively dovish comments) would have presented a considerable challenge. Only [a week ago](#), Powell suggested the Fed could continue cutting in Q4 as well as **end its quantitative tightening program** - potentially as early as December – which should leave markets with a higher net liquidity position.

To reiterate, it *should* ... but the situation is a little more complicated than that. There's also been a sharp decline in the overnight reverse repo facility from over \$250B in early July to around \$4B this month, which under normal conditions should also help boost available liquidity. However, the drainage has perversely created some funding rate volatility for institutions relying on the Secured Overnight

Financing Rate (SOFR), driven by imbalances in cash supply and demand in money markets.

Our view: Given today's CPI data, our expectations remain firm that the Fed will maintain their trajectory for two more 25bps cuts on October 29 and December 10, despite the shutdown and data anomalies adding to uncertainty. We believe both crypto and equity markets will likely react positively given that positioning looks much cleaner here.

Gold vs bitcoin: costs, supply, and the flow-driven tape

After setting fresh highs above \$4,300/oz, gold saw one of its sharpest pullbacks in years this week, with intraday drops of roughly 5–6% across one or two sessions before stabilizing – exhibiting classic “overbought” behavior in a [momentum driven](#) market. Still, the surge in price over the last few months may be affecting gold's supply vs demand side dynamics as this has made it more cost effective to expand gold extraction.

At today's prices, gold mining runs with very wide operating margins, while bitcoin mining economics look favorable for efficient operators but remain [highly variable](#) across the industry. [All-in sustaining costs](#) (AISC) for gold cluster near the mid-\$1,000s/oz even as spot oscillates around the low-\$4,000s, leaving wide headroom despite recent volatility (Chart 2). For reference, AISC includes most costs of production—on-site mining/processing, royalties and production taxes, sustaining corporate G&A, reclamation, and sustaining capital items—while excluding items such as income taxes, financing charges, and M&A-related or other one-off adjustments.

Chart 2. Gold prices have diverged significantly from production costs

For bitcoin, a proxy using a large, listed miner's disclosures (Marathon/MARA) shows cash mining costs comfortably below current spot bitcoin prices, supporting healthy operating margins. However, we caution that miner cost structures vary widely — true costs swing with fleet efficiency, power contracts, hosting, depreciation/capex, and scale, meaning margins can look strong for low-cost operators and much thinner for higher-cost peers (Chart 3).

Chart 3. BTC price vs MARA mining costs

Unit-economics underscore the asymmetry: gold's margins are structurally wide at current prices whereas bitcoin's margins are more volatile with compression from mining difficulty, fees, and volatile flows. With gold spot several thousand dollars above AISC, most producers print robust operating cash flow – even through pullbacks. We think bitcoin miners depend far more on the risk cycle.

When BTC rises and fees pop, hashprice lifts and operators accrue cushion. But when price stalls and difficulty grinds higher, margins tighten and marginal sellers re-emerge.

In our view, **costs shape supply very differently in bitcoin versus gold: gold's curve is more elastic to external factors, while bitcoin's issuance is fixed.** Higher gold prices tend to (1) expand margins, (2) invite brownfield expansions and new capex, and—in time—(3) add tonnage, albeit with lead times and sticky input costs (diesel, labor, sustaining capex) that lift the floor AISC over time. However, bitcoin's protocol keeps issuance near ~450 BTC/day post-halving regardless of price (Chart 4).

Chart 4. New BTC supply vs Gold supply

With supply growth relatively slow (gold) or inelastic (bitcoin), we think flows have dominated pricing in 2025. In our view, gold has enjoyed a parabolic run as the decisive winner of the “[debasement trade](#)”: cumulative ETF intake climbed sharply through 2025 and the combined “central banks + investment” share rose toward cycle highs—an explicit bid for the debasement hedge (Charts 5). On the crypto side, U.S. spot bitcoin ETFs now command a large share of marginal demand with cumulative inflows growing across 2025, even as day-to-day prints remain volatile.

Chart 5. Net BTC vs Gold ETF flows

We think the demand impulse has been the decisive lever behind both assets' 2025 gains. For gold, central banks have remained net buyers while investors re-engaged via ETFs and spot holdings, pushing their combined share of total gold demand to 60% in 2Q25 – up from 32% in 1Q21 (Chart 6). Meanwhile, demand from spot bitcoin ETFs and digital asset treasuries (DATs) have pulled in billions of dollars with these institutions now holding a non-trivial share of circulating supply (Chart 7).

Chart 6. Gold demand breakdown

Chart 7. DATs now hold 3.5% of BTC supply

Our view: While extraction costs set floors and stress points, speculative flows dominate price discovery for both gold and bitcoin. At the moment, gold's AISC is far below spot – setting a stable base for its value – especially so, as prices have extended in 2025 on outsized central-bank and investor demand. For bitcoin, fixed emissions means mining costs don't curb supply in the same way. Instead, stress shows up when difficulty and energy costs rise and speculative demand softens.

Strong inflows via spot ETFs and DATs buttress bitcoin price and ease miner balance sheets, while weak inflows and rising difficulty can compress margins and prompt miner selling. Gold's cost curve offers a slowly rising floor in the mid-\$1,000s/oz. Meanwhile, bitcoin's supply

growth decays mechanically, but varied miner cost bands mark zones where strain intensifies and price grows more reflexive to macro liquidity and broader risk conditions. Bottom line: the economics of gold vs bitcoin production provide a price foundation, but 2025 performance has been driven primarily by demand flows from a supportive macro backdrop of growing global liquidity and a weakening dollar.

Where are the DATs?

BTC digital asset treasury companies (DATs) largely sat out the post-October 10 drawdown and have yet to re-engage.

Over the last two weeks, BTC buying by DATs fell to near year-to-date lows and has not meaningfully recovered, even on days when prices have rebounded (Chart 8). We think that absence matters because BTC DATs are usually the largest, most flexible entities—the ones with the capacity to step in with size when conviction is high. In our view, their absence for nearly two weeks signals limited confidence even at current, discounted levels.

Chart 8. Trailing 7 day DAT purchases

The only consistent buyer since the drawdown has been on the ETH side—and that bid has been narrowly concentrated in a single DAT. Aggregate T7D ETH DAT purchases remain positive, but attribution shows a single entity (Bitmine or BMNR) driving the majority of net buying, with smaller contributions from other funds (Chart 9). If BMNR slows or pauses, we worry that the apparent corporate bid could fade.

Chart 9. ETH holdings share - by DAT

Our view: DAT buying hasn't shown up for BTC and is narrowly concentrated for ETH, which highlights some caution from large players post leverage washout, even at current "support" levels. We think this warrants more cautious positioning in the short term, because the market appears more fragile when the biggest discretionary balance sheets are sidelined.

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Flows

Spot ETF net flows (Trailing 7-day sum)

Spot ETF assets under management (AUM)

Stablecoin circulating supply growth - by chain

Relative strength against Bitcoin

Coinbase CES Insights

BTC continues to test and find support at its 200D MA (\$108,000). Its stability contrasts with the broader altcoin market, where smaller, less liquid altcoins seem to lack a genuine bid. Since the October 10th sell off, traders have expressed a preference for liquidity when establishing or maintaining long positions. While capital inflows have been evident in major assets like BTC, ETH, and SOL, a basket of small-cap altcoins have continued to decline throughout the month.

Spot flows notwithstanding, downside hedging continues to dominate the options market in both BTC and ETH. The 1M 25D skew remains at elevated levels as traders bid up puts over calls.

Financing Rates

The Week Ahead

**U.S. government data may be delayed due to the shutdown*

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